MELI

MercadoLibre, Inc. (NASDAQ)

As-of: 17-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$1834.0 [Mkt 16-Oct-26]

Market Cap: $93.0B [Mkt 16-Oct-26]

Attractiveness Score

Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 88

Dominant LatAm platform with a real ecosystem moat: marketplace, payments, logistics, credit, and ads reinforcing each other. Ecosystemic users (commerce + fintech) are materially more profitable and growing 37%. FCF margin hit 37% in FY25. Margin compression is deliberate investment, not competitive erosion.

2. Recent Trend — 70

Operating momentum is exceptional: revenue +50%, GMV +44%, TPV +56%, credit +75% YoY. But net income fell ~11%, op margin compressed 550 bps, and EPS has missed twice in the last four quarters. The stock is down 11% in a month and sits 22% below its 52-week high. Great business, choppy stock.

3. Forward Growth — 92

Growth is confirmed, not speculative: all three core markets growing double digits FXN, credit compounding at 75%, ads at 62% FXN, and 37% growth in the highest-value user cohort. DCF base case embeds ~22% implied CAGR, and the trajectory supports it.

4. Valuation — 72

DCF base $2,795 implies 52% upside and the market prices only a 12% CAGR, well below base-case growth. NTM PEG of 1.01 is cheap for 40%+ revenue growth. Trailing P/E of 46.6x looks elevated but compresses fast as investment normalizes.

5. Catalysts & Risk 72

Q3 earnings on Nov 4 with margin trajectory as the key debate; improving credit quality supports the fintech ramp. Risks: LatAm FX and macro (Argentina, Brazil), rising credit provisions, and a management team explicitly choosing investment over near-term profitability. Positive skew.

Investment Thesis

- **LatAm Ecosystem Leader:** Marketplace, Mercado Pago, logistics, credit, and ads form one flywheel: 89.3M active buyers, $101B TPV, $16.4B credit portfolio [Q2 PR]. Ecosystemic users using both sides grow 37% and are the most profitable cohort [Q2 call].
- **Growth at Scale:** Q2 2026: revenue $10.17B (+50%), GMV $21.9B (+44%), TPV $101B (+56%), credit +75% YoY [Q2 PR]. All three core markets, Brazil, Mexico, Argentina, grew double digits FXN. This is a growth company at $93B, not a story stock.
- **Margin Compression Is a Choice:** Op margin of 6.7%, down 550 bps, is deliberate reinvestment, not share loss [Q2 PR]. At $1,834 [Mkt 16-Oct-26] the market prices a 12% CAGR while our DCF base $2,795 needs ~22% and implies 52% upside. PEG of 1.01 agrees the market is underpricing it.

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Revenue (Q2 2026)	$10.17B [Q2 PR]	+49.8% [Q2 PR]	Up
GMV	$21.9B [Q2 PR]	+44% (+36% FXN) [Q2 PR]	Up
Total Payment Volume	$101.0B [Q2 PR]	+56% [Q2 PR]	Up
Credit Portfolio	$16.4B [Q2 PR]	+75% [Q2 PR]	Up
Operating Margin	6.7% [Q2 PR]	-5.5 pts [Q2 PR]	Down
EPS (Q2)	$9.19 [Q2 PR]	-10.9% [Zacks]	Down
Unique Active Buyers	89.3M [Q2 PR]	n/a [n/a]	Up

Historical Financial Trend

METRIC	FY22	FY23	FY24	FY25	TTM
Revenue	$10.78B [10-K FY22]	$15.11B [10-K FY23]	$20.78B [10-K FY24]	$28.89B [10-K FY25]	$35.18B [10-Qs]
Net Margin	4.5% [10-K FY22]	6.5% [10-K FY23]	9.2% [10-K FY24]	6.9% [10-K FY25]	5.3% [10-Qs]
Free Cash Flow	$2.49B [10-K FY22]	$4.63B [10-K FY23]	$7.06B [10-K FY24]	$10.77B [10-K FY25]	n/a [n/a]

Valuation

Absolute (7/10)

P/E (fwd) 32.4x [Mkt 16-Oct-26]
DCF Base $2,795 [DCF model]
PEG 1.01 [Mkt 16-Oct-26]

PEG near 1.0 on 40%+ revenue growth; DCF implies 52% upside.

Versus Peers (6/8)

Sea Ltd 35.6x P/E [Finnhub]
Amazon 21.1x P/E [MarketWatch]

MELI trades above peers on trailing P/E but carries the lowest PEG of the three.

Versus History (5/7)

22% below 52wk high [Mkt 16-Oct-26]
P/E 46.6x TTM [Mkt 16-Oct-26]

Multiples elevated vs own history but the growth trajectory is intact.

Catalyst Timeline

Nov 4, 2026 [Cons]
Q3 2026 Earnings (Two-Sided): EPS est $9.34. The swing factor is operating margin vs the reinvestment pace, not revenue.

Q3-Q4 2026 [Q2 PR]
Margin Inflection (Positive): Op margin at 6.7%, down 550 bps YoY. Stabilization would re-rate the earnings trajectory.

Ongoing [Q2 PR]
Credit Quality (Two-Sided): Portfolio at $16.4B, +75% YoY. Delinquency improved to 7.0%; any deterioration would hit the fintech thesis.

Top Risk Factors (Item 1A)

1. Deliberate Margin Compression: Op margin fell 550 bps YoY to 6.7% as management lowered take rates, raised marketing, and expanded logistics. The team says reinvestment will not slow, so near-term earnings stay compressed. [Q2 PR]

2. Credit Risk: Credit portfolio up 75% YoY to $16.4B with higher provisions. Delinquency improved to 7.0% but a LatAm downturn could spike bad debts quickly given the growth pace. [Q2 PR]

3. LatAm Macro and FX: Revenue, margins, and credit quality are all exposed to ARS/BRL/MXN swings. Argentina posted 38% FXN GMV growth but consumption there remains fragile. [Q2 PR]

What Would Change Our Score

Q3 earnings on Nov 4: the swing factor is margin trajectory vs the investment pace, not revenue. If op margins stabilize while GMV/TPV hold 30%+ FXN growth, the base case ($2,795) comes into play; credit deterioration or a LatAm FX shock would test the bear ($1,278).

4. Competition: Amazon and Shopee compete across the region. MercadoLibre leads on logistics and fintech integration, but price competition in commerce pressures take rates. [Q2 call]

Forward Growth Drivers

- GMV $21.9B (+44% YoY, +36% FXN) with 795.4M items sold (+45%) and 89.3M active buyers [Q2 PR]
- Mercado Pago TPV $101B (+56% YoY); credit portfolio $16.4B (+75% YoY) with improving delinquency [Q2 PR]
- Advertising +62% FXN, topping 10% of LatAm digital ad market for the first time [Q2 call]
- Brazil, Mexico, Argentina all growing double digits FXN; ecosystemic users 37% growth [Q2 PR]

Missing / Modified Data Log

- Country-level FX-neutral growth splits taken from earnings transcript summaries, not the primary filing.
- Five-year multiple history not sourced; history valuation scored vs 52-week range instead.
- Short interest and options flow not used in scoring.

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